

RESIDENT MANAGER EMPLOYMENT AGREEMENT

This Resident Manager Employment Agreement ("Agreement") is entered into effective March 3, 2025 by and between the Association of Apartment Owners of Na Hale O Makena ("AOAO"), acting by and through its Board of Directors ("BOARD"), whose address is 4955 Makena Road, Kihei, HI 96753, and Molly Duncan ("EMPLOYEE").

WITNESSETH:

WHEREAS, the AOAO wishes to employ the EMPLOYEE to assist the AOAO in the management, administration, and day-to-day operations of the Na Hale O Makena AOAO; and,

WHEREAS, the AOAO and the EMPLOYEE previously entered into a Resident Manager Employment Agreement effective March 3, 2025 (the "Original Agreement"), and the Parties now wish to amend, restate, and supersede the Original Agreement in its entirety by this Agreement; and,

WHEREAS, the Parties intend to avoid misunderstandings concerning the terms and conditions of EMPLOYEE'S employment; and,

WHEREAS, the EMPLOYEE wishes to be employed by the AOAO.

NOW, THEREFORE, in consideration of the mutual promises herein, the EMPLOYEE's continued employment, and the enhanced benefits provided to the EMPLOYEE, the parties agree as follows:

1. EMPLOYMENT

a. Employment. The AOAO employs the EMPLOYEE as its Resident Manager for the AOAO.

b. Guidelines and Policies. The EMPLOYEE shall abide by any job guidelines, job descriptions, or policy manuals provided by the BOARD. The AOAO may modify the EMPLOYEE's duties from time to time as reasonably necessary, provided such changes are consistent with the position of Resident Manager and are communicated in writing.

c. Duties. The EMPLOYEE'S duties shall include, but not be limited to, those duties described in Section 5 below. The EMPLOYEE shall perform such assigned duties in coordination with guidelines and instructions issued from time to time by the BOARD.

Resident Manager Employment Agreement

2. TERM

This Agreement will terminate automatically if either Party exercises their right to terminate the employment relationship at any time, with or without cause subject to paragraphs 4 and 7 below.

3. AUTHORITY

a. Board Authority. The BOARD shall have authority and supervision over the EMPLOYEE. The EMPLOYEE shall direct all questions and matters relating to the terms of her employment and duties to the President or other director designated by the Board. Any requests for new or additional supplies needed to perform duties and/or requests to incur expenses on behalf of or for the AOA, or any recommendations, repairs, complaints, and/or problems should be directly communicated to the BOARD.

b. No Owner Supervision. The EMPLOYEE is not to take direction from nor will be supervised by any individual owner nor will EMPLOYEE perform work of a personal nature for any owner.

c. Emergency Authority. The EMPLOYEE shall have the authority to act prudently and responsibly in the event of an emergency. An emergency is defined as one of a catastrophic nature in which the health, safety, or security of the property and/or its occupants are threatened. EMPLOYEE shall report as soon as possible to the BOARD and describe the nature of the emergency and the steps undertaken.

4. TERMS

a. At-Will. The EMPLOYEE and the AOA agree that the employment relationship between the AOA and the EMPLOYEE is an at-will relationship, and the employment relationship may be terminated pursuant to the terms of this Agreement, as set forth in Section 7 (Termination).

b. Compensation. The EMPLOYEE's annual base salary is \$98,000.00, equal to \$8,166.67 per month, payable in two (2) equal semi-monthly installments on the 15th day of each month and the last day of each month. As part of her compensation the AOA provides the on-site residence (the "Unit") described in the Residence section; in consideration of that residence a housing credit of \$3,000.00 per month — \$1,500.00 per installment — is deducted from the salary. Each semi-monthly installment is therefore computed as: gross salary of \$4,083.33, less the \$1,500.00 housing credit, equaling net cash compensation of \$2,583.33 per installment (\$5,166.67 per month; \$62,000.00 per year). Any rounding difference shall be reconciled in the final pay period of the calendar year. All amounts are subject to applicable taxes and lawful withholding. The terms governing occupancy and use of the Unit are set forth in the Residence section.

Resident Manager Employment Agreement

c. Residence. The Unit is provided to the EMPLOYEE solely as a license incident to, and as a condition of, her employment as Resident Manager, to enable on-site performance of her duties and for the convenience of the AOA. This arrangement does not create a landlord-tenant relationship, tenancy, leasehold, or other property interest, and Hawaii residential landlord-tenant law shall not apply. The EMPLOYEE's right to occupy begins and ends with her employment; upon termination her right to occupy ceases, subject only to the vacate period set forth in Section 7 (Termination). The Unit is for occupancy by the EMPLOYEE and her immediate household, which may include a cohabiting partner and dependents; subletting or assignment is prohibited. During the term of employment, the EMPLOYEE and her cohabiting partner shall have the right to use the Association's common recreational facilities and amenities, including the pool area, exercise facilities, and other common amenities, on the same basis as owners and residents, subject to applicable House Rules and safety regulations. No other person, except for short term guests staying for less than 14 days, shall occupy the Unit without the prior written consent of the Board. The AOA may enter the Unit for inspection, maintenance, or repair upon at least twenty-four (24) hours' notice, scheduled during the EMPLOYEE's regular on-duty hours and with the EMPLOYEE present; provided that, in a genuine emergency, the AOA may enter without notice and without the EMPLOYEE present.

The Unit is a two-bedroom unit on the property. The AOA shall provide utilities for the Unit, including water, electricity, trash, sewage, basic cable, and internet. During the term of employment, the EMPLOYEE shall not be responsible or obligated to pay any mortgage payments, taxes, special assessments, fees, penalties, fines or attorneys' fees or costs that may be incurred or charged to the Unit, and such costs shall be the obligation of the AOA. The Unit is partially furnished with the following appliances: a microwave, oven, refrigerator, dishwasher, washer, and dryer. The EMPLOYEE shall agree to pay for any damages to the Unit, excluding normal wear and tear. The AOA insures the building and the AOA-owned furnishings of the Unit. The AOA is not responsible for loss of or damage to the EMPLOYEE's personal property, which the EMPLOYEE may insure at her own option. The EMPLOYEE must abide by the House Rules. The EMPLOYEE shall maintain any housing provided by or paid for by the AOA at all times in a clean and sanitary condition.

EMPLOYEE agrees to execute any necessary lease or sub-lease agreements as requested by the AOA to fulfill the housing obligations under this Agreement. In the event of termination of employment, EMPLOYEE agrees to vacate the Unit provided for by the AOA within 30 days of the termination date, except that for termination due to gross misconduct, material breach of this Agreement, criminal activity, theft or fraud, the EMPLOYEE shall vacate the Unit within 5 days of the termination date.

Resident Manager Employment Agreement

Upon the termination of employment, for any reason, all of the aforementioned AOA-owned items shall remain the AOA's property and shall remain in the Unit upon the EMPLOYEE's departure.

d. Lawful Recovery of Amounts Owed. Any amounts the EMPLOYEE genuinely owes the AOA — including documented personal charges, or property damage beyond ordinary wear that is attributable to the EMPLOYEE — shall be reconciled separately. The AOA may deduct such amounts from wages only to the extent permitted by HRS Chapter 388 and only with the EMPLOYEE's specific written authorization, or as otherwise allowed by law.

e. Employment Benefits. The EMPLOYEE shall be provided with all benefits required by State and Federal law. Additionally, the AOA may, in its discretion, provide the EMPLOYEE with other benefits, and may also in its discretion reduce or terminate any such benefits to the extent permitted by law.

f. Holidays. The EMPLOYEE shall be entitled to the following holidays: New Year's Day, Memorial Day, King Kamehameha Day, Independence Day, Labor Day, Veterans Day, Thanksgiving, and Christmas Day.

g. Hours; Exempt Status. The EMPLOYEE acknowledges and agrees that the Resident Manager position is a salaried managerial and administrative position requiring the exercise of independent judgment, operational discretion, flexible scheduling, and responsiveness to the operational needs of the property. The EMPLOYEE shall generally maintain regular on-site availability during customary business hours appropriate for the effective management and operation of the property; however, the nature of the position requires that work hours may vary depending upon operational requirements, emergencies, maintenance activities, vendor coordination, owner and guest issues, safety matters, regulatory matters, and other property-related responsibilities. The EMPLOYEE shall be reasonably available to respond to emergencies, urgent operational matters, safety concerns, property incidents, and other critical situations outside customary business hours, including evenings, weekends, and holidays, when reasonably necessary in connection with the performance of the duties of the position. Except as otherwise required by applicable law, the EMPLOYEE understands and agrees that compensation provided under this Agreement constitutes full compensation for all services performed in fulfillment of the responsibilities of the position.

h. Reimbursement. The AOA will reimburse the EMPLOYEE for all reasonable and necessary expenses the EMPLOYEE may incur for and on behalf of the AOA in the performance of services hereunder. The EMPLOYEE shall furnish vouchers, receipts, or other documents and information sufficient to substantiate all such expenses.

Resident Manager Employment Agreement

i. Training Seminars. If the BOARD deems it necessary, the EMPLOYEE agrees to attend such training seminars or other educational courses as the BOARD may approve from time to time. The cost of such training shall be at the expense of the AOA.

j. Cell Phone. The AOA will pay for a cell phone to make and receive calls relating to AOA business. However, the EMPLOYEE shall be held personally liable and responsible for any long distance and other charges not relating to AOA business. The cell phone paid for by the AOA shall not be used for any illicit or unlawful purposes and the content, such as emails and texts pertaining to AOA business, may be subject to review by the BOARD.

k. Vacation Pay. On commencement of employment and during the first year, but less than ten (10) years, of continuous employment with the Association, the EMPLOYEE shall be entitled to fifteen (15) days paid vacation per year commencing from the Effective Date of the agreement. Upon completion of ten (10) years, or more, of continuous employment with the Association, the EMPLOYEE shall be entitled to twenty (20) days paid vacation. Vacation time is on an accrual or pro-rated basis commencing on the Effective Date of this Agreement and renewing annually thereafter. All such vacation days shall be subject to express written approval of the BOARD as to the time when such vacation may be taken. In the event that a Holiday should fall on one of the EMPLOYEE'S vacation days, the EMPLOYEE's vacation shall be extended by one working day. Unused vacation may not be saved, banked, or rolled over from year to year. Vacation accrued in the then-current year that remains unused at termination shall be paid out to the EMPLOYEE as required by Hawaii law.

l. Sick Leave. The EMPLOYEE shall receive five (5) paid sick days per year. The EMPLOYEE may not save, bank or roll over any sick days per year. Unused days are not compensated for. If EMPLOYEE wishes to take paid sick leave, EMPLOYEE must notify the Board President.

m. Vehicle. The EMPLOYEE shall maintain a valid driver's license and personal automobile liability insurance at or above Hawaii minimum limits. The EMPLOYEE shall name the AOA as an additional insured on that policy and shall provide evidence of such coverage to the AOA upon request. The AOA shall be responsible for, and shall maintain appropriate insurance covering, liability arising from the EMPLOYEE's operation of any vehicle while performing AOA business. The EMPLOYEE shall indemnify the AOA against any loss incurred as a result of the EMPLOYEE's gross negligence or willful misconduct. The EMPLOYEE will be paid a flat amount of one hundred dollars (\$100.00) per month to be included in regular payroll checks as a vehicle allowance. Parking and moving violations shall be the sole responsibility of the EMPLOYEE.

Resident Manager Employment Agreement

5. CORE RESPONSIBILITIES AND BOARD PRIORITIES

EMPLOYEE shall professionally manage and oversee the day-to-day operation, maintenance, appearance, safety, and functionality of the property consistent with priorities established by the BOARD.

EMPLOYEE shall develop, implement, and periodically present to the BOARD operational plans, maintenance programs, inspection procedures, preventative maintenance schedules, vendor coordination procedures, and reporting systems reasonably necessary to accomplish BOARD operational priorities.

BOARD priorities shall include, but not be limited to:

- Preservation of property appearance and aesthetics
- Protection and maintenance of view corridors
- Landscaping oversight and maintenance quality
- Inspection and maintenance of common areas
- Pool, exercise facility, and recreational amenity oversight
- Preventative maintenance scheduling and tracking
- Vendor and contractor administration
- Supervision, monitoring, and enforcement relating to parking areas, vehicle storage, parking compliance, abandoned vehicles, and related operational controls
- Property condition monitoring and reporting
- Safety and emergency response coordination
- Regulatory inspection monitoring and compliance support
- House Rule monitoring and enforcement support
- Support of effective owner and guest communications

EMPLOYEE shall identify operational and maintenance service needs, solicit and review vendor proposals, evaluate contractor performance, coordinate approved vendors, review invoices and deliveries, and present recommendations to the BOARD for approval.

Non-budgeted expenditures and contracts exceeding thresholds established by the BOARD from time to time shall require prior BOARD approval. The BOARD may set and amend those thresholds, and the categories requiring approval, by policy or resolution without amending this Agreement.

Except where specific BOARD approval is required, EMPLOYEE shall determine the reasonable operational methods, scheduling, prioritization, inspection systems, vendor coordination procedures, and operational controls necessary to accomplish BOARD priorities.

Resident Manager Employment Agreement

6. RESTRICTIONS

a. The EMPLOYEE shall not make or represent herself as having any authority to enter into contracts, written or oral, or to otherwise incur liability on behalf of the AOA, unless specifically authorized to do so by the BOARD.

b. The EMPLOYEE shall not personally make, draw, accept, or endorse any promissory note, bill or exchange, lease, contract, or other engagement for the payment of money, or its equivalent on behalf of the AOA.

c. The EMPLOYEE shall not pledge the credit of the AOA in any way whatsoever, except as the EMPLOYEE may be authorized to do so by the BOARD.

d. The EMPLOYEE shall not commit the AOA to any obligation or liability not specifically authorized in writing by the BOARD.

e. The EMPLOYEE shall not engage in rental or sales activities of any unit of the AOA in any manner whatsoever.

f. The EMPLOYEE shall not accept any kickbacks, commissions, rebates, or any other form of compensation, whether in money, service, or merchandise, for awarding any contracts, purchases, or other goods and services used by the AOA.

g. Exclusivity; Outside Activity. During employment the EMPLOYEE shall devote her full professional attention to the AOA during working hours and shall not engage in any outside activity that competes with the AOA, creates a conflict of interest, or materially interferes with the performance of her duties. In particular, the EMPLOYEE shall not perform compensated personal services or work of any kind for any owner, member, resident, or tenant of the Association, as such arrangements create a conflict of interest and compromise the EMPLOYEE's independent and impartial performance of her duties. Outside activities that do not meet the foregoing standards are permitted and require no prior approval.

h. AOA Property. Any property of the AOA received by the EMPLOYEE during the course of employment shall be held by the AOA for the account of the AOA, and such property shall be surrendered to the AOA on demand.

i. Confidentiality. The EMPLOYEE shall keep confidential non-public personal, financial, and legal information of the AOA and its members, and shall not use it except in performing her duties. This obligation does not apply to (i) records owners or members are entitled to access under Hawaii law, (ii) disclosures required by law or legal process, or (iii) information that becomes public through no fault of the EMPLOYEE. AOA records remain the property of the AOA.

Resident Manager Employment Agreement

j. Drug- and Alcohol-Free Workplace. The Association is a drug- and alcohol-free workplace. The EMPLOYEE shall not be under the influence of, use, possess, or distribute illegal drugs or controlled substances while on duty or on Association property, and shall not operate any vehicle or equipment while impaired by alcohol or any substance. Nothing herein regulates the EMPLOYEE's lawful off-duty conduct that does not affect job performance or Association property.

k. Harassment/Discrimination. It is the policy of the AOA to provide all of its employees, owners, and guests freedom from any form of sexual harassment or discrimination based on gender, sexual orientation, or any other status protected by law.

l. Sexual harassment is a form of employee conduct that undermines the integrity of any employee/employer relationship. All employees are to conduct themselves in a manner to allow an environment free from unsolicited and unwelcome sexual overtones. The AOA will not tolerate harassment in any form.

m. The EMPLOYEE is not to perform any non-AOA work inside individual units except in an emergency and shall not accept any payment for work performed from individual owners.

n. Non-Solicitation. For twelve (12) months following termination, the EMPLOYEE shall not knowingly solicit any then-current AOA employee to leave AOA employment, or solicit any then-active AOA vendor or contractor to terminate its relationship with the AOA. This provision does not restrict general advertising or activity not directed at AOA personnel or vendors.

o. Non-Disparagement. Neither the EMPLOYEE nor the AOA's directors or officers shall make statements they know to be false and intended to harm the other's reputation. Nothing in this section limits truthful statements, legally protected disclosures, complaints to or cooperation with any government agency, or testimony required by law.

p. Performance evaluations shall be conducted exclusively by the BOARD.

7. TERMINATION

The employment is and remains at-will: either party may terminate at any time, with or without cause, and nothing in this Agreement creates employment for a fixed term or requires cause for termination. Employment may be terminated in writing by either party at any time. The Termination Date shall be the date by which the terminating party provides written notice to the other party or as mutually agreed. In the event of termination, the EMPLOYEE shall be compensated at the then current rate of pay for time worked through the Termination Date. In the event of EMPLOYEE resignation, the AOA requests a minimum two-week written notice (the "notice period"). At the sole discretion of the

Resident Manager Employment Agreement

BOARD, the AOA shall either pay the EMPLOYEE through the notice period while the EMPLOYEE continues to render services, or provide two weeks of pay in lieu of the EMPLOYEE working the remainder of the notice period.

Upon termination of this Agreement by either party, EMPLOYEE agrees to return all AOA property, including, but not limited to, keys to the Condominium Project, cellular phone, equipment, keys, tools and other equipment and property belonging to the AOA on the termination date. EMPLOYEE acknowledges and agrees that any data or information placed or stored on the AOA's computers or other electronic devices is the property of the AOA. EMPLOYEE shall not place or store the AOA data on EMPLOYEE's personal computers or devices.

8. MEDIATION AND ARBITRATION; GOVERNING LAW

a. Mediation. If any dispute or claim in law or equity arises out of this Agreement, both parties agree in good faith to attempt to settle such dispute or claim by mediation on Maui with a single mediator through Dispute Prevention Resolution, Inc. ("DPR") or its successor entity. The mediation costs shall be equally born by the parties.

b. Arbitration. If such mediation is not successful in resolving such dispute or claim, then such dispute or claim shall be decided by binding arbitration before a single arbitrator on Maui mutually selected by the parties through DPR or its successor entity. Judgment upon the award rendered by the arbitrator may be entered in any court having jurisdiction thereof.

This Agreement shall be governed by and construed in accordance with the laws of the State of Hawaii. Venue shall be in the Second Circuit Court of Hawaii on the island of Maui.

9. COMPLETE AGREEMENT

a. Entire Agreement. This Agreement shall constitute the entire agreement between the parties. No change to this Agreement shall be valid unless made by supplemental written agreement executed and approved by the AOA and the EMPLOYEE except for changes to compensation, which is contained within the Budget as approved by the BOARD.

b. No Other Reliance. Each party to this Agreement hereby acknowledges and agrees that the other party has made no warranties, representations, covenants, or agreements, express or implied to such party, other than those expressly set forth herein, and that each party in entering into and executing this Agreement has relied upon no warranties, representations, covenants, or agreements, express or implied, to such party, other than those expressly set forth herein.

c. Amendment and Restatement; Supersession. This Agreement amends, restates, and supersedes in its entirety the Original Agreement effective March 3, 2025 between the

Resident Manager Employment Agreement

AOAO and the EMPLOYEE. Upon execution of this Agreement, the Original Agreement shall be of no further force or effect, and the rights and obligations of the parties with respect to the EMPLOYEE's employment shall be governed exclusively by this Agreement. The effective date of the employment relationship remains March 3, 2025.

10. ASSIGNABILITY; BINDING EFFECT

EMPLOYEE may not assign or delegate any of her rights or obligations hereunder without first obtaining the written consent of the AOA. If any of the provisions or covenants contained in this Agreement, for any reason and to any extent, are construed to be invalid or unenforceable, the remainder of this Agreement, and the application of the remaining covenants to other persons or circumstances, shall not be affected thereby, but rather shall be enforced to the greatest extent permitted by law.

11. COUNTERPARTS

This Agreement may be executed by the parties in counterparts or by facsimile with the original to follow promptly, and any set of counterparts which is collectively executed by all the parties shall be sufficient proof of the Agreement. Receipt of a signature page of this Agreement bearing the signature of a party that is transmitted via facsimile or electronic transmission shall be satisfactory as delivery of the original signature page, and shall bind such party to this Agreement.

12. MISCELLANEOUS

a. Binding Effect; Successors. This Agreement shall be binding upon and shall inure to the benefit of the parties and their respective heirs, personal representatives, successors, and permitted assigns. Consistent with Section 10 above, the EMPLOYEE may not assign or delegate this Agreement or any of her rights or obligations hereunder without the prior written consent of the AOA.

b. Electronic Signatures. The parties agree that this Agreement may be executed by electronic signature, and that an electronic signature has the same legal effect, validity, and enforceability as a manually executed signature to the fullest extent permitted by applicable law, including the Hawaii Uniform Electronic Transactions Act (HRS Chapter 489E) and the federal Electronic Signatures in Global and National Commerce Act (15 U.S.C. § 7001 et seq.). This provision supplements, and does not limit, the counterparts and facsimile/electronic delivery provisions of Section 11.

c. Notices. Any notice required or permitted under this Agreement shall be in writing and shall be deemed duly given when delivered personally, when sent by electronic mail with confirmation of transmission, or three (3) business days after being deposited in the United States mail, postage prepaid, certified or registered mail, return receipt requested,

Resident Manager Employment Agreement

addressed to the AOA at its address set forth above (Attention: Board President) and to the EMPLOYEE at her residence Unit on the property or at such other address as either party may designate by written notice to the other in accordance with this Section.

d. Waiver. No waiver of any provision of this Agreement, or of any breach or default hereunder, shall be effective unless in writing and signed by the party against whom the waiver is asserted. No failure or delay by either party in exercising any right, power, or remedy under this Agreement, and no course of dealing or course of conduct between the parties, shall operate as a waiver of any such right, power, or remedy or of any provision of this Agreement. A waiver of any single breach or default shall not be deemed a waiver of any other or subsequent breach or default.

e. Severability. If any provision of this Agreement is held to be invalid, illegal, or unenforceable in any respect, such invalidity, illegality, or unenforceability shall not affect any other provision of this Agreement, and this Agreement shall be construed as if such invalid, illegal, or unenforceable provision had been modified to the minimum extent necessary to make it valid and enforceable, or, if it cannot be so modified, as if it had never been contained herein. This Section supplements the severability language set forth in Section 10.

f. Headings. The headings and captions used in this Agreement are for convenience of reference only and shall not be used to interpret, define, limit, or describe the scope or intent of any provision of this Agreement.

g. Voluntary Execution; Opportunity to Consult Counsel. Each party acknowledges that it has read and understands this Agreement, has had the opportunity to consult with independent legal counsel of its own choosing concerning this Agreement, and is executing this Agreement voluntarily and without duress.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the date first written above.

ASSOCIATION OF APARTMENT OWNERS OF NA HALE O MAKENA

By: _____

Its: AOA President

Date: _____

Molly Duncan, Employee

By: _____

Date: _____